

# Alphabet Inc.

GOOGL NASDAQ

**Buy**    **\$338.70 ▲ 0.07%**    12M Price Target **\$385.00**    52-Week Range **\$233.23 – \$408.61**

Market Cap  
**\$4.14T**

## GOOGL: Nuclear Loan + Cloud AI Deal = Quiet Compounding

### WHAT HAPPENED

- Two real catalysts hit today: (1) The US government just handed Google's revived nuclear plant project a \$1.9B loan — that's taxpayer money de-risking their AI power buildout, which is huge because power is THE bottleneck for AI right now. (2) Google Cloud announced a big Accenture partnership to accelerate enterprise AI deployment — this is them playing catch-up to AWS and Azure in the "who actually deploys AI at Fortune 500 companies" race.
- Options flow is loudly bullish — near-term call buying at \$335-340 strikes is running 8-17x normal open interest, meaning smart money is betting on a move up in the next few weeks.

### WHY IT MATTERS

The nuclear loan is bigger than it looks — the Trump administration is explicitly picking winners in the AI power race, and Alphabet just got picked. This tells you the political environment is friendlier to Big Tech's infrastructure ambitions than the headlines suggest (antitrust noise aside), because Washington needs American AI to beat China more than it wants to break up Google. The Accenture deal matters because Google Cloud has been the #3 player forever — if they can convert enterprise pipelines faster, that's the segment with the highest incremental margins. Bottom line: stock is at 60% of its 52-week range, options are flashing bullish, and the fundamentals just got two tailwinds in one day — this is a setup, not a top.

### POLICY & POLITICAL WATCH

The big overhang is still the DOJ antitrust case on Search — remedies phase is ongoing, and worst case is forced divestiture of Chrome or Android (market has largely stopped pricing this as likely, which is why the stock recovered from \$233 lows). On the tailwind side, the administration's AI infrastructure push — including today's \$1.9B nuclear loan — signals the government wants hyperscalers building domestically, which directly benefits Alphabet's capex plans. Watch for any movement on the bipartisan AI energy bill in the Senate; if it expands DOE loan guarantees, that's more cheap capital flowing to GOOGL's power buildout.

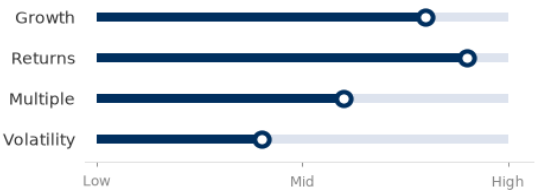
### IS IT EXPENSIVE?

GOOGL trades around 24x forward earnings — meaning you're paying \$24 for every \$1 of profit expected next year — versus Microsoft at ~32x and Meta at ~27x. That's still a discount to peers despite arguably having the best AI research (DeepMind), the best custom AI chips (TPUs), and now government-subsidized power. The market is pricing in antitrust risk and Search cannibalization from ChatGPT — if either of those fears fades even a little, there's easy multiple expansion room.

### Key Data

|                     |          |
|---------------------|----------|
| Price (USD)         | \$338.70 |
| 12M Price Target    | \$385.00 |
| Upside / (Downside) | +13.7%   |
| Market Cap          | \$4.14T  |
| FY2026E Revenue     | \$415M   |
| FY2027E Revenue     | \$470M   |
| FY2026E EPS         | \$9.85   |
| FY2027E EPS         | \$11.50  |
| Fwd P/E             | 24.5x    |

### INVESTMENT PROFILE



### 12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

| TIMEFRAME | BULL CASE | BASE CASE | BEAR CASE |
|-----------|-----------|-----------|-----------|
| 1 Month   | \$355.00  | \$345.00  | \$320.00  |
| 6 Months  | \$400.00  | \$370.00  | \$300.00  |
| 1 Year    | \$430.00  | \$385.00  | \$290.00  |
| 2 Years   | \$500.00  | \$430.00  | \$280.00  |
| 5 Years   | \$700.00  | \$550.00  | \$300.00  |
| 10 Years  | \$1100.00 | \$800.00  | \$350.00  |

WHAT'S MOVING IN THE SECTOR

**HEATING UP:** Utilities (+3% this week) and Energy — the market is figuring out that AI needs enormous power, and today's nuclear loan is proof the government is subsidizing that buildout. Tech is grinding higher on the same theme.

**COOLING OFF:** Consumer Discretionary (-1.9% five-day) is signaling consumer stress — not directly a GOOGL problem, but ad budgets get cut when consumers pull back, so watch this.

**ROTATION WATCH:** Money is flowing into "AI infrastructure enablers" — power, cooling, chips, hyperscalers — and out of consumer-facing cyclical. GOOGL sits squarely in the winner bucket.

**RELATED PLAY:** If you believe the AI power thesis, the picks-and-shovels play is nuclear/utility names (VST, CEG) and data center REITs (EQIX, DLR) — they benefit whether Google, Microsoft, or Amazon wins.

WHO'S WINNING IN THIS SPACE?

- MSFT (Microsoft): Leading Big Tech on enterprise AI monetization via Copilot — the template GOOGL is now chasing with the Accenture deal
- META (Meta Platforms): Crushing on ad targeting improvements from AI — proves the "AI kills digital ads" narrative is wrong

**GOOGL CONTEXT:** GOOGL is lagging MSFT and META on 6-month returns despite arguably better tech — that gap is the opportunity. Either GOOGL catches up (my bet) or the market is telling us something about Search decay that isn't in the numbers yet.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

**CONVICTION:** 8/10 — Best risk/reward in mega-cap tech right now: cheap-ish multiple, real AI monetization starting, government tailwinds, and antitrust worst-case is priced in.

**POSITION SIZE:** 5-8% of portfolio — this is a core holding, not a trade; the balance sheet lets you sleep at night.

**ENTRY POINTS:** Add on pullbacks to \$325-335. Any DOJ headline dip below \$320 is a gift.

**TIME HORIZON:** 12-24 months. Key catalysts: DOJ remedies ruling, Cloud growth sustaining >30%, and 2027 AI monetization data.

**WHEN TO BAIL:** (1) Search ad revenue goes negative YoY, (2) forced structural breakup ordered, (3) Cloud growth drops below 20%.

**HEDGING:** Simplest hedge is just owning less — trim to 3% if you're nervous. If you want protection, buying cheap out-of-the-money puts 6 months out costs about 2% of your position and protects against a DOJ shock.